

Historical Data for Remaining Life Expectancy at Age 65

	Male	Female
1950	12.8	15.0
1960	12.8	15.8
1970	13.1	17.0
1980	14.1	18.3
1990	15.1	18.9
2000	16.0	19.0
2010	17.7	20.3

Source: Centers for Disease Control
<http://www.cdc.gov/nchs/data/hus/2011/022.pdf>

Instead of using period life tables, a better alternative is to use a cohort life table, which tracks mortality for the same individual over time. When a sixty-five-year-old in 2017 turns eighty-five in 2037, his mortality rate at eighty-five will most likely be lower than that of an eighty-five-year-old in 2017. A cohort life table uses projections for future mortality improvements when calculating life expectancies. Cohort life tables will project longer lives and are surely a better choice for considering longevity when building a retirement income plan. A practical implication is that if you are basing your own longevity on how long your parents lived, then you are probably underestimating it by ignoring the persistent improvements over time.

3. What is the underlying population for which mortality and survivorship is being calculated?

It may seem natural to base calculations on the aggregate US population—as is done with the Social Security Administration life tables—but clear socioeconomic differences have been identified in mortality rates. Higher